Advanced Financial Accounting

An IFRS® Standards Approach, 3e

Pearl Tan, Chu Yeong Lim and Ee Wen Kuah

Solutions Manual

Chapter 3

Group Reporting II: Application of the Acquisition Method under IFRS 3

Copyright © 2016 by McGraw-Hill Education (Asia)

C3.1 International Airlines Group

Note to Instructors: Most of the information concerning the merger may be found in the footnote disclosures in Annual Report 2011 and the Merger Plan, June 2010 available on the airlines website http://www.iairgroup.com

1. *Explain the legal processes and structuring that took place to effect the business combination of IAG and its subsidiaries.*

On 21 January 2011, International Consolidated Airlines Group, S.A. (commonly referred to as International Airlines Group or IAG Group) was formed to hold interests in two companies - British Airways Plc (a British airline company) and Iberia Líneas Aéreas de España S.A. Operadora (a Spanish airline company referred to as Iberia OpCo).

Prior to 21 January 2011, each of the two companies owned shares in each other.

- British Airways owned 13.15 percent of the issued share capital of Iberia (13.55 percent after cancellation of Iberia treasury shares)
- Iberia owned 9.98 percent of the issued share capital of British Airways.

After 21 January 2011, the cross holdings between British Airways and Iberia remained with the same economic and voting rights[1] as before the restructuring.

The shareholders of each company would receive shares in the new entity.

After 21 January 2011, the share capital of BA Plc is transferred to BA HoldCo at market value. The net assets of Iberia (the former airline company) are "hived down" (or transferred) to Iberia OpCo at its net book value in accordance with Spanish legislation. BA Hold Co and Iberia are liquidated and the net assets are transferred to the new IAG Group[2].

On 21 January 2011, the new IAG Group carries:

- Net assets of BA (the acquirer) at book value
- Net assets of Iberia (the acquiree) at fair value
- Goodwill in Iberia

From the segment reporting note (Note 4a), the operations are conducted by individual operating companies in the new IAG Group.

Under the terms of the "merger" agreement which was completed on 21 January 2011, British Airways' shareholders received one new ordinary share of IAG for every existing share held in British Airways and Iberia's shareholders received 1.0205 new ordinary shares in IAG for every existing Iberia ordinary shares. After the share exchange, British Airways' shareholders hold 56% of IAG and Iberia's shareholders hold the remaining 44% shares[3].

[1] Note 3 of IAG Annual Report 2011
[2] Merger Plan, June 2010
[3] Note 2 of IAG Annual Report 2011

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

2. *Analyze the acquisition method with respect to the business combination of IAG and its subsidiaries:*

   a. *Who was the acquirer? Provide evidence of control.*

   From the segment information in Note 4, British Airways is almost 2.5 times larger than Iberia in terms of revenues and contributed 71% of total revenues of IAG in 2011. Although size is not conclusive evidence of control, the significant larger British Airways would be more dominant than Iberia in decisions on the most significant activities of IAG.

   The directors are about equally split with regards to representation of the two airline companies. Using the 56% to 44% allocation will not necessarily reflect the power balance between the two companies. These percentages represent the shareholdings in IAG of former shareholders of British Airways and Iberia respectively. These shares are held by a very large number of investors and they may not act in concert to bolster the power of the company in which they originally hold shares in.

   The evidence of control lies in the disclosure by the new group. Although the parties to the agreement saw it as a merger of equals, from an accounting perspective, British Airways, was deemed to be the acquirer (footnote 3).

   b. *What were the significant assets and liabilities of the subsidiaries that were the subject of fair valuation?*

   Iberia's net identifiable assets that had a different fair valuation from their carrying amount were:

   Brands (Fair value: €306 million, Carrying amount: Zero)

   These would relate to the Iberia brand name arising from its long established corporate identity and culture. Iberia had operated as Spain's national flag carrier since 1927 and operated as a privatized airline since 1999. It is a household name in the Iberian peninsula and flies to more than 100 destinations.

   Customer loyalty programmes (Fair value: €253 million, Carrying amount: Zero)

   These would relate to customer loyalty programmes such as Iberia Plus and Avios and priviledges extended to loyal customers such as use of dedicated lounges. These benefits would serve to retain or motivate customers to fly on Iberia.

   Landing rights (Fair value: €430 million, Carrying amount: Zero)

   Landing rights held by Iberia allow it to land or depart at specific times granted by the airport owner in accordance with international guidelines. These landing rights have differential value depending on the popularity of the time slots with respect to customer demand.

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

c. *How was goodwill determined? Explain the special complexities relating to goodwill determination for this business combination.*

Applying requirements of IFRS 3, British Airways was deemed to be the acquirer and Iberia the acquiree. The form of acquisition was that of the transfer of the net assets of the acquirer (British Airways) and the acquiree (Iberia) to a new entity (IAG).

One of the complexities relates to the determination of the purchase price or fair value of consideration transferred to obtain control.

Another complexity arose with respect to the cross-holdings between British Airways and Iberia. These had to be adjusted in determining the purchase price implicitly paid by British Airways for Iberia.

The merger agreement was executed through a share exchange (existing shares for the new shares of IAG). The purchase price for Iberia has to be inferred from the fair value of the IAG shares given to Iberia's shareholders. The fair value of 44% of IAG shares given in consideration for Iberia would represent the fair value of Iberia's shares acquired.

Note 3 explains the calculated fair value of consideration paid to acquire Iberia. The first step is to infer the fair value of IAG. Since British Airways' shareholders own 56% of IAG, the fair value of IAG can be inferred by grossing up to 100% the fair value of the 56% stake held by shareholders of British Airways.

	€ million
British Airways' fair value as at 21 January 2011	3,862
Less Iberia's stake in British Airways (cross-holdings)	(385)
Fair value of shares owned by British Airways' shareholders	3,477
British Airways' shareholders' ownership in IAG	56%
Fair value of IAG (100%)	6,209 (3,477/56%)
44% of Fair value of IAG shares given to Iberia shareholders	2,732 (6,209 x 44%)
British Airways' stake in Iberia (cross-holdings)	370
Purchase consideration for Iberia	3,102

Another complexity relates to the fair valuation of Iberia's net assets. Most of the fair value differences arose from Intangible assets and property, plant and equipment. Intangible assets arose in the form of brand, loyalty programmes and landing rights and deferred tax liability (refer to Note 3).

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

CQ3.1 Acquisition accounting

Acquisition accounting is a special set of accounting requirements that apply when an acquirer obtains control of an acquiree. When an acquisition event occurs, the acquirer is deemed to have acquired the net assets of the acquiree indirectly through the obtaining of control. As such, the assets and liabilities of the acquiree have to be recognized on the balance sheet of the acquirer and measured at fair value.

Examples of special accounting treatment in acquisition accounting:

1. Recognition of internally-generated intangible assets and goodwill

While the acquiree is not permitted to recognize its own internally-generated intangible assets and goodwill, the acquirer has to recognize these assets on the balance sheet. Examples of these assets include brands, customer relationships and research and development assets.

For example, under IAS 38, *Intangible Assets*, research expenditures have to be expensed off and development expenditures capitalized only under very limited situations. However, on acquisition, the acquirer has to recognize these assets on the balance sheet at fair value.

2. Classification and designation of assets and liabilities on acquisition date

The acquirer has to use a fresh start approach to recognizing the assets and liabilities of the acquiree. An asset or liability has to be classified and designated based on the information, circumstances and policies of the acquirer at acquisition date. Hence, the classification and designation at acquisition date will override existing classification and designation of the asset or liability in the acquiree's financial statements. For example, the acquiree may have carried a debt investment at amortized cost. However, the acquirer may have a different policy and may choose to apply the fair value option to carry the investment. The information, circumstances and policies of the acquirer will override the existing classification and designation of the assets and liabilities in the acquiree's balance sheet.

3. Measurement of assets and liabilities on acquisition date

The acquirer has to use the fair value basis to recognizing most assets and liabilities of the acquiree. Hence, the assets and liabilities will be measured at amounts in the consolidated balance sheet that would differ from the carrying amounts in the acquiree's balance sheet.

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

CQ3.2 Debate on options permitted on measurement of non-controlling interests under IFRS 3

Note to the instructor: You may wish to divide the class into small groups. You may either ask them to choose the option that they would recommend to their hypothetical board of directors or you may ask them to argue for one side versus the other.

The following table shows the impact of each alternative:

Attribute	**Non-controlling interests at full fair value**	**Non-controlling interests as a proportion of identifiable net assets**
Impact on equity	Higher (NCI is higher)	Lower
Impact on assets	Higher (Goodwill is higher)	Lower
Impact on net profit	Lower (if impairment arises)	Higher
Impact on cash flows	None	None
Transparency of information	More transparent (External users have access to full information on goodwill)	Less transparent (External users do not know what is the full measure of goodwill)
Consistency with reporting of equity and assets	More consistent with reporting of equity and assets as full reporting is required of other assets	Less consistent as other assets are reported in full, not proportionate to parent's share
Consequential impact on ratios	Relative measures look worse off under this alternative (e.g. ROA, ROE)	Relative measures look better
Consequential impact on size measures	Absolute measures are higher (Size impact)	Absolute measures are smaller
International harmonization	Harmonized with U.S. GAAP	Not harmonized with U.S. GAAP

[Also refer to Research Question 4.1 where students are asked to apply the choice to any 5 companies]

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

CQ 3.3 Forms of business combinations

1. IFRS 3 highlights four examples of four forms of business combinations

(a) Direct acquisition of net assets that constitute a business

In this situation, the acquirer acquires the assets and liabilities of a business from the former owners of the net assets. The acquirer has direct control of the assets and liabilities and recognizes the assets and liabilities on its individual financial statements. The acquirer is not acquiring the equity of another entity in this situation.

Examples include the acquisition of a surviving segment of a business from a bankrupted company.

(b) Acquisition of equity in a subsidiary

Unlike the above form where an acquirer obtains control of assets and liabilities of a business, this form of business combination entails the acquisition of control over the equity of another entity. This form of business combination is the most common. The subsidiary remains as a separate entity from the parent. However, in economic terms, the two entities are one through the control that the parent has over the subsidiary.

(c) Net assets of combining entities transferred to a new entity

This form of business combination entails the transfer of the net assets of the acquirer and the acquiree to a new entity. Effectively, the owners of the acquirer and the acquiree are given shares in the new entity. The net assets of both entities are now housed in a new entity. However, within the new entity, the acquirer will be the unit that has control over the acquiree.

(d) The former owners of a combining entity has control over the combined entity

This form of business combination is more complex as it requires considering the control exerted by the owners of one entity over the combined entity. It is a situation where the legal parent may not be the effective parent and it becomes necessary to identify the real source of control. This situation is typically a reverse acquisition or reverse take over where the former owners of a legal subsidiary is effectively controlling the entire group.

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

2. Differences in forms of business combination

	Acquisition of net assets	Acquisition of equity	Transfer to a new entity	Control by former owners
What is legally acquired in the transaction?	Net assets	Equity	Equity (in the form of share exchange with new entity)	Equity
Who is the seller?	Former owners of the net assets	Former owners of the subsidiary	Former owners of the subsidiary	Former owners of the subsidiary
What is the legal entity?	Acquirer	The acquirer and the acquiree are separate legal entities	The new entity	The acquirer and the acquiree are separate legal entities
What is the economic entity?	Acquirer	Group	The new entity	Group
Is there a need for consolidation?	No	Yes	No	Yes
Who has control of the economic entity?	Acquirer	Acquirer	Acquirer	Acquirer (and its former owners)

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

Journal entries in A Co's books as at 1 July 20x3

Fair value of consideration transferred

Dr	Investment in B Co	$9,000,000	
Dr	Unamortized discount	$8,000,000.00	
Cr	Cash		$4,000,000
Cr	Equity		$5,000,000
Cr	Deferred amount due to vendor		$8,000,000
		$17,000,000	$17,000,000

Loan proceeds

Dr	Cash	$3,200,000	
Cr	Loan payable		$3,200,000

Transaction costs

Dr	Equity	$40,000	
Cr	Cash		$40,000

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

(1) What is the fair value of consideration transferred if the proportional interest of P's fair value is the most reliable measure of the shares issued? Identify the specific components of consideration transferred.			
Shares issued by P		1,200,000	
Existing shares issued by P		2,000,000	
Total shares issued by P		3,200,000	
Fair value of net assets or equity of P		4,000,000	
Fair value per share		1.25	($4m/3.2m shares)
Fair value of shares issued		1,500,000	(1,200,000 x1.25)
Immediate cash payment		500,000	
Present value of deferred payment		783,526	(PV of $1m @5% for 5 years)
Fair value of equipment transferred		50,000	
		2,833,526	
(2) What is the fair value of consideration transferred if the proportional interest of S's fair value is the most reliable measure of the shares issued? Identify the components that constitute the consideration transferred.			
Shares of S acquired		1,440,000	(80%*1.8m shares)
Fair value of S' equity	(Note 1)	3,200,000	
Fair value per share		1.7778	(3.2m/1.8)
Fair value of shares issued	(Note 2)	1,226,474	
Immediate cash payment		500,000	Total fair value acquired = 2.560m
Present value of deferred payment		783,526	(1.440m * 1.7778)
Fair value of equipment transferred		50,000	
		2,560,000	
Note 1: The fair value of S' equity is greater than the value of the fair value of identifiable assets because of goodwill.			
Note 2:			
Value of S acquired = 1.7778 * 1.440 m shares =		2,560,000	
Less consideration paid in cash		-500,000	
Less consideration paid in deferred payment		-783,526	
Less consideration paid in kind (equipment)		-50,000	
Consideration paid in shares		1,226,474	

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

(3) Assuming that fair value of P is used to determine the fair value of shares issued, prepare the journal entries in P's books to record the investment entry:			
Dr Equipment		10,000	
Cr Remeasurement gain			10,000
Recognizing the change in fair value on equipment transferred.			
Dr Investment in S		2,833,526	
Dr Due diligence expense		20,000	
Dr Equity		5,000	
Dr Unamortized discount on loan		216,474	1000000-783526
Cr Cash			525,000 (500K + 20K+5K)
Cr Loan payable			1,000,000
Cr Equity			1,500,000
Cr Equipment			50,000
Recognizing transactions relating to the acquisition.			
(4) Assuming that fair value of P is used to determine the fair value of shares issued prepare the consolidation adjustment to eliminate the investment in S			
If tax effects are recognized at 20%			
Consideration transferred		2,833,526	
Fair value of non-controlling interests		640,000	20%*3200000
		3,473,526	
Fair value of identifiable net assets		-2,700,000	
Deferred tax liability on Intangible Asset		140,000	(20%*700000)
Goodwill		913,526	
Dr Share capital (S)	1,800,000		
Dr Retained earnings (S)	200,000	(Inferred)	
Dr Goodwill	913,526		
Dr Intangible Asset	700,000		
Cr Deferred tax liability		140,000	(20%*700000)
Cr Investment in S		2,833,526	
Cr Non-controlling interests		640,000	
	3,613,526	3,613,526	

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

(1) Determine the consideration transferred in accordance with IFRS 3		
Fair value of shares issued	(6m x $3)	$18,000,000
Deferred payment to V Co (Loan payable)	(1m@6% end of 5 years)	747,258
Assumption of short-term liabilities		$200,000
Consideration transferred		$18,947,258
(2) Show the journal entries in P's books to record the payment items and share issue of P Co.		
Dr Investment in S	$18,947,258	
Dr Unamortized discount on loan	$252,742	
Cr Share capital (equity)		$18,000,000
Cr Loan payable to V Co		$1,000,000
Cr Short-term liabilities		$200,000
Consideration transferred	$19,200,000	$19,200,000
Dr Acquisition-related expenses	$230,000	
Dr Business development expenses	$35,000	
Dr Equity	$10,000	
Cr Cash		$275,000
Transaction costs expensed off		
(3) Show partial consolidation adjustments for 20x5.		
Dr Share capital	$4,000,000	
Dr Retained earnings	$5,600,000	
Dr Other reserves	$1,200,000	
Dr Goodwill	$11,247,258 (Note 1)	
Dr Intangible asset	$2,000,000	
Cr Investment in S		$18,947,258
Cr Deferred tax liability		$400,000
Cr Non-controlling interests		$4,700,000
Elimination of investment in S	$24,047,258	$24,047,258
Note 1: Goodwill		
Consideration transferred		$18,947,258
Fair value of non-controlling interests		4,700,000
		$23,647,258
Fair value of identifiable net assets	$12,800,000	
Deferred tax liability	-$400,000	
Less Net fair value of identifiable net assets		$12,400,000
Goodwill		$11,247,258
Dr Amortization of intangible asset	366,667 (Note 2)	
Cr Intangible Asset		366,667

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

Note 2: Acquired on 1 Feb 20x5			
Amortization = 2m/5years * 11/12 =	$366,667		
Dr Deferred tax liability		73,333	
Cr Tax expense			73,333
Tax effects of amortization of intangible asset			

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

Part (1) ***Journal entries in A Co's books as at 1 July 20x0***

	Fair value of consideration transferred			
Dr	Investment in B Co	$23,225,867		
Dr	Unamortized discount on DC	$1,731,790.67	=8000000-6268609	
Dr	Unamortized discount on CC	$42,342.82	=600000-557657	
Cr	Cash			$4,000,000
Cr	Equity			$6,400,000
Cr	Deferred consideration (DC)			$8,000,000
Cr	Contingent consideration (CC)	0.6*1000000		$600,000
Cr	Building			$6,000,000
	Present value of contingent consideration PV(5%,1.5,0,-600000,0)			$557,657
	Remeasurement gain on buildings			
Dr	Buildings	$500,000		
Cr	Remeasurement gain (PL)			$500,000
	Loan proceeds			
Dr	Cash	$5,000,000		
Cr	Loan payable			$5,000,000
	Transaction costs for the issue of equity			
Dr	Equity	$90,000		
Cr	Cash			$90,000
	Other transaction costs			
Dr	Acquisition-related costs (PL)	$130,000		
Cr	Cash			$130,000

Part (2) ***Amortization table***

	Effective interest (5%)	PV of loan
1/7/20x0		($6,268,209.33)
1/7/20x1	($313,410.47)	($6,581,619.80)
1/7/20x2	($329,080.99)	($6,910,700.79)
1/7/20x3	($345,535.04)	($7,256,235.83)
1/7/20x4	($362,811.79)	($7,619,047.62)
30/6/20x5	($380,952.38)	($8,000,000.00)

Part (3) ***Interest expense for year ended 31 December 20x1***

Dr	Interest expense	$321,245.73	(313410.47/2)+(329081/2)
Cr	Unamortized discount		$321,245.73

Part (4) ***Journal entry to record the terminal entry for the contingent consideration as at 31 December 20x1***

	Final payment	0.00
	Carrying amount at 31 Dec 20x'	$600,000
	Write back	($600,000)

Dr	Contingent consideration	$600,000	
Cr	Gain on write back (PL)		$600,000

(Effectively, the gain on write back is offset by the lower profit of B Co, an unfavourable outcome)
(Prior to this entry, the interest entry would have been passed)

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

(1) Journal entry to record the purchase of net assets of S Co by P Co in its separate financial statements on 1 January 20x1			
Dr Intangible asset	30,000		
Dr Fixed assets	350,000		
Dr Inventory	60,000		
Dr Accounts receivable	90,000		
Dr Cash	20,000		
Dr Goodwill	248,000		
Cr Accounts payable		80,000	
Cr Deferred tax liability		18,000	20%*(470000-380000)
Cr Equity		700,000	
	798,000	798,000	
Direct acquisition of net assets of S Co			
(2) Journal entry to record the purchase of net assets of S Co by P Co in its separate financial statements on 1 January 20x1			
Dr Investment in S Co	700,000		
Cr Equity		700,000	

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

(3) Consolidation worksheet as at 1 January 20x1					
	P Co	**S Co**	**Dr**	**Cr**	**Total**
	Book value	**Book value**			
Goodwill			248,000		248,000
Intangible asset			30,000		30,000
Investment in S Co	700,000			700,000	-
Fixed assets	420,000	300,000	50,000		770,000
Inventory	130,000	40,000	20,000		190,000
Accounts receivable	200,000	100,000		10,000	290,000
Cash	100,000	20,000			120,000
Accounts payable	(150,000)	(80,000)			(230,000)
Deferred tax liability				18,000	(18,000)
Net assets	1,400,000	380,000	348,000	728,000	1,400,000
Share capital	700,000	200,000	200,000		700,000
Retained earnings	700,000	180,000	180,000		700,000
	1,400,000	380,000	380,000	-	1,400,000
			728,000	728,000	
Elimination entry shown below . This entry is not required to answer the question.					
CJE1: Elimination of investment on consolidation					
Dr Share capital		200,000			
Dr Retained earnings		180,000			
Dr Intangible asset		30,000			
Dr Fixed assets		50,000			
Dr Inventory		20,000			
Dr Goodwill		248,000			
Cr Provision for impairment loss (Accounts receivable)			10,000		
Cr Deferred tax liability			18,000	20%*(470000-380000)	
Cr Investment in S Co			700,000		
		728,000	728,000		

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

Part (1) ***Journal entries in P Co's books for the year ended 31 December 20x1***

Fair value of consideration transferred

Dr	Inventory	$156,000		
Dr	Intangible assets	$25,000		
Dr	Other net assets	$1,665,000		
Dr	Goodwill	$700,084	Note (a)	
Dr	Contingent refundable	$600,000		
Cr	Cash			$1,000,000
Cr	Land			$2,000,000
Cr	Unamortized discount			$129,884
Cr	Deferred tax liability			$16,200
		$3,146,084		$3,146,084

Note (a): Gopdwill

Fair value of consideration transferred			
	Contingent refundable	Note (b) below	($470,116)
	Cash		$1,000,000
	Land		$2,000,000
			$2,529,884
Fair value of identifiable net assets		($1,846,000)	
Deferred tax liability (assume 20%)		$16,200	
			($1,829,800)
Goodwill			$700,084

Note (b):

Expected value of contingent refundable (50% x $1.2 million)		$600,000
Cost of capital		5%
Since Tuscany is the party that will refund the payment, the credit risks of Tuscany is more critical than that of P Co, hence Tuscany's cost of capital is used		
Period to date of refund (number of years)		5.00
Present value of expected refund	PV(5%,5,0,-600000,0)	$470,116
Unamortized discount	600000-470116	$129,884

Remeasurement gain

Dr	Land	$1,200,000	2000000-800000	
Cr	Remeasurement gain			$1,200,000

Loan proceeds

Dr	Cash	$400,000	
Cr	Loan payable		$400,000

Transaction costs

Dr	Transaction costs (PL)	$40,000	
Cr	Cash		$40,000

Amortization table

	Effective interest	PV of loan
1/7/20x1		($470,115.70)
30/6/20x2	($23,505.78)	($493,621.48)
30/6/20x3	($24,681.07)	($518,302.56)
30/6/20x4	($25,915.13)	($544,217.69)
30/6/20x5	($27,210.88)	($571,428.57)
30/6/20x6	($28,571.43)	($600,000.00)

Interest income for full year 20x1

Dr	Unamortized discount	$11,752.89	=23506/2	
Cr	Interest income			$11,752.89

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

Part (2) ***Journal entries in P Co's books for the year ended 31 December 20x2***

	Interest income for 20x2			
Dr	Unamortized discount	$24,093.43	23506/2+24681/2	
Cr	Interest income			$24,093.43

Part (3) ***Assuming that profit targets were met, the contingent receivable would be written o***

Contingent refund would not be received

	Write-off contingent receivable			
Dr	Write-off of receivable (PL)	$600,000		
Cr	Contingent refundable			$600,000

Inspite of the write off, the actual situation is positive with a higher profit is earned by the new business

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

Date of acquisition	1/7/20x3		
Financial year end	31/12/20x3		
	Small Ltd		**Sumo Pte Ltd**
Share capital	500,000		12,000,000
Retained earnings	120,000		22,000,000
Revaluation reserves	-		500,000
Shareholders' equity	620,000		34,500,000
			Small Ltd
Under- or over-valued assets/liabilities			$0
	Small Ltd		**Sumo Pte Ltd**
Fair value of entity	$8,000,000		$60,000,000
Number of ordinary shares	400,000		6,000,000
FV per share	$20.00		$10.00
Shares issued by			
Small Ltd to owners of Sumo Pte Ltd	10,000,000		
After share exchange			
Existing owners of Summit	400,000		3.8462%
Owners of Sumo	10,000,000		96.1538%
New issued share capital	10,400,000		100%
Should have been			
Shares issued by Sumo Pte Ltd to			
owners of Small Ltd	240,000.00	Note (a)	3.8462%
Existing owners of Sumo	6,000,000		96.1538%
New issued share capital	6,240,000.00		100%
Note (a)	3.8462%/96.1538%*6000000		
Goodwill recognized by Sumo Pte Ltd, the acquirer			
Fair value of consideration transferred		2,400,000.00	
Elimination of investment in the acquiree			
Dr Share capital	500,000		
Dr Retained earnings	120,000		
Dr Goodwill	1,780,000		
Cr Investment in Small Ltd			2,400,000
	2,400,000		2,400,000

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

Date of acquisition	1/7/20x1		
Financial year end	31/12/20x1		
	Trim Ltd	**Sumo Pte Ltd**	
Share capital	20,000,000	50,000,000	
Retained earnings	5,000,000	30,000,000	
Revaluation reserves	2,000,000	20,000,000	
Book value of net assets	27,000,000	100,000,000	
License to operate a toll booth			
	Probability	Fee	EV
High traffic	0.5	1,000,000	500,000
Moderate traffic	0.3	500,000	150,000
Low traffic	0.2	140,000	28,000
Expected value of annual fee			678,000
Remaining useful life	3 years		
Trim 's cost of capital	5%		
Present value of future fee income	PV(5%,3,678000,0,0)		$1,846,362
Provisions for loss under a guarantee			
	Probability	Settlement	EV
Best outcome	0.6	0	$0
Moderate outcome	0.3	200000	$60,000
Worst outcome	0.1	500000	$50,000
			$110,000
As recognized by Trim Ltd			$0
Expected period	3 years		
Trim 's cost of capital	5%		
Present value of expected loss	PV(5%,3,0,110000,0)		$95,022
Book value of inventory of Sumo Pte Ltd			$24,000,000
Fair value of inventory of Sumo Pte Ltd			$18,000,000
Percentage of the inventory was sold to third parties by 31 December 2011			70%
FV of INA of Trim Ltd			
Book value of net assets			$27,000,000
Intangible asset (License)			$1,846,362
Provisions			($95,022)
Deferred tax liability on FV-BV	20%*(1846362-95022)		($350,268)
FV of INA of Trim Ltd			28,401,072

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

(1) Assume the business combination was a reverse takeover (RTO)				
	Trim Ltd		**Sumo Pte Ltd**	
Fair value of entity	$30,000,000		$120,000,000	
Number of ordinary shares	4,000,000		8,000,000	
FV per share	$7.50		$15.00	
Shares issued by				
Trim Ltd to owners of Sumo Pte Ltd	16,000,000			
After share exchange				
Existing owners of Sumo	4,000,000		20.0000%	
Owners of Sumo	16,000,000		80.0000%	
New issued share capital	20,000,000		100%	
Should have been				
Shares issued by Sumo Pte Ltd to				
owners of Trim Ltd	2,000,000	Note (a)	20.0000%	
Existing owners of Sumo	8,000,000		80.0000%	
New issued share capital	10,000,000		100%	
Note (a) 20%/80%*8000000				
Fair value of consideration transferred	30,000,000	2000000*15		
(2) Assuming an RTO scenario, determine the goodwill in accordance with IFRS 3				
FV of consideration	30,000,000	2000000*15		
Less FV of INA of Trim Ltd	28,401,072	Note (b)		
Goodwill	1,598,928			
Note (b)				
Share capital	20,000,000			
Retained earnings	5,000,000			
Revaluation reserves	2,000,000			
Intangible asset	1,846,362			
Provisions	(95,022)			
Deferred tax liability	(350,268)			
Fair value of identifiable net assets	28,401,072			
(3) In July 20x4, final settlement was made under the guarantee				**200,000**
(a) Show the entry to record the final settlement in Trim's books				
Dr Loss on guarantee (PL)	200,000			
Cr Cash			200,000	
(b) Show the entry that would have been passed for the final settlement in the acquirer's books				
Dr Provision for loss under the guarantee	110,000			
Dr Loss on guarantee (PL)	90,000			
Cr Cash			200,000	
(c) Show the consolidation adjustment to bring the entry in (1) to the entry in (ii)				

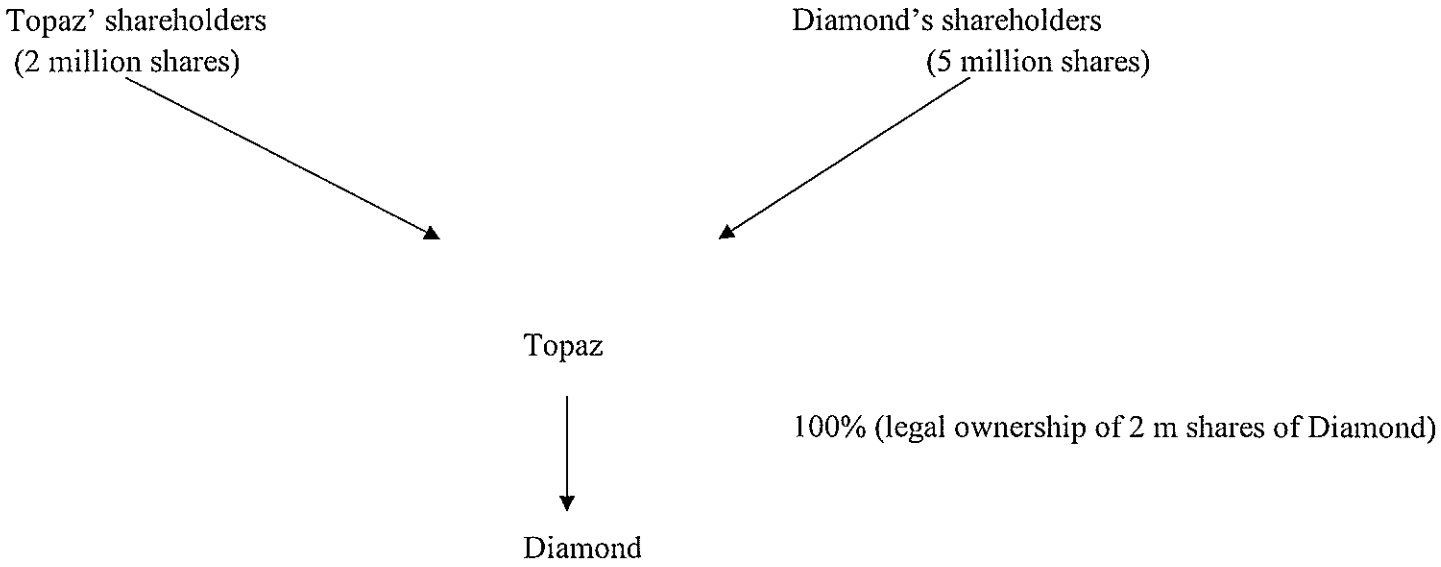
2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

Dr Provision for loss on guarantee			110,000			
Cr Loss on guarantee (PL)				110,000		
Reverse part of the expense recognized by Trim Ltd						
Interest expense during 20x4 (entry is not required) - shown here for information						
Dr Interest expense			$2,619.05			
Cr Unamortized discount				2,619		
Interest expense during 2014 (entry is not required)						
Interest rate		5%				
	Effective int	Carrying amount				
1/7/20x1		$95,022				
30/6/20x2	$4,751.11	$99,773.24				
30/6/20x3	$4,988.66	$104,761.90				
30/6/20x4	$5,238.10	$110,000.00				
(4) On 30 June 20x2, Trim revised its fee income under the high traffic scenario						800000
(a) Resulting from failure to use information that was available as at acquisition date						
This is a correction of error. However, as the the discovery arose during the measurement period (12 months from acquisition date), the goodwill amount can be revised and corrected as if the correct accounting was applied in the first place.						
License to operate a toll booth						
			Probability		Fee	EV
High traffic			0.5		800,000	400,000
Moderate traffic			0.3		500,000	150,000
Low traffic			0.2		140,000	28,000
						578,000
Remaining useful life			3	years		
Trim 's cost of capital			5%			
Present value of future fee income			PV(5%,3,578000,0,0)			$1,574,037
Revised goodwill amount:						
FV of consideration			30,000,000	2000000*15		
Less FV of INA of Trim Ltd			28,183,212	Note (b)		
Goodwill			1,816,788			
Note (b)						
Share capital			20,000,000			
Retained earnings			5,000,000			
Revaluation reserves			2,000,000			
Intangible asset			1,574,037			
Provisions			(95,022)			
Deferred tax liability			(295,803)			
Fair value of identifiable net assets			28,183,212			
Entries to opening retained earnings as at 1 Jan 20x2						
Amortization for 20x1			262,340	1574037/3*1/2		
Deferred tax for 20x1			(52,468)	20%*262340		

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

	209,872			
Current expense for 20x2				
Amortization for 20x2	524,679			
Deferred tax for 20x2	(104,936)			
	419,743			
(b) Revision arose because of new information after acquisition date				
In this situation, the new information arose after acquisition date. The situation does not indicate an error in the first instance. The new information gives rise to a change in estimate.				
As such, there is no retrospective correction of past reported financial numbers. Instead, all changes are effected prospectively from the date the information arose.				
License to operate a toll booth				
	Probability		Fee	EV
High traffic	0.5		800,000	400,000
Moderate traffic	0.3		500,000	150,000
Low traffic	0.2		140,000	28,000
				578,000
Remaining useful life	2 years			
Trim 's cost of capital	5%			
Present value of future fee income	PV(5%,2,578000,0,0)			$1,074,739
Unamortized balance of intangible asset as at 30 June 20x		1,230,908.11	1846362/3*2	
Revised balance (above)		$1,074,739		
Difference		156,168.88		
The intangible asset has suffered an impairment loss and an entry as follows is passed:				
Dr Impairment loss		156,168.88		
Cr Accumulated impairment			156,168.88	
The deferred tax liability is also adjusted for the immediate write down				
Dr Deferred tax liability		31,233.78		
Cr Tax expense			31,233.78	
(5) Assume instead that Trim Ltd is the acquirer, goodwill of Sumo acquired is as follows:				
FV of INA of Sumo Pte Ltd				
Book value of net assets				100,000,000
FV-BV of inventory				(6,000,000)
Deferred tax asset on FV-BV				1,200,000
FV of INA of Sumo Pte Ltd				95,200,000
FV of consideration		16000000*7.5		120,000,000
Goodwill				24,800,000

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted



(1) Assuming that it is a "normal" acquisition,

(a) (i) Fair value of consideration transferred if fair value of Topaz' share is reliably determined:

No of Topaz' shares issued to Diamond's shareholders = 5 million
Fair value of Topaz share per unit = $2 per share

Fair value of consideration transferred = 5 million * $2 per share = $10 million

(a) (ii) Fair value of consideration transferred if fair value of Diamond's share is reliably determined:

No of Diamond's shares acquired by Topaz = 2 million (entire stock)
Fair value of Diamond's share per unit = $6 per share
Fair value of consideration transferred = 2 million * $6 = $12 million

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

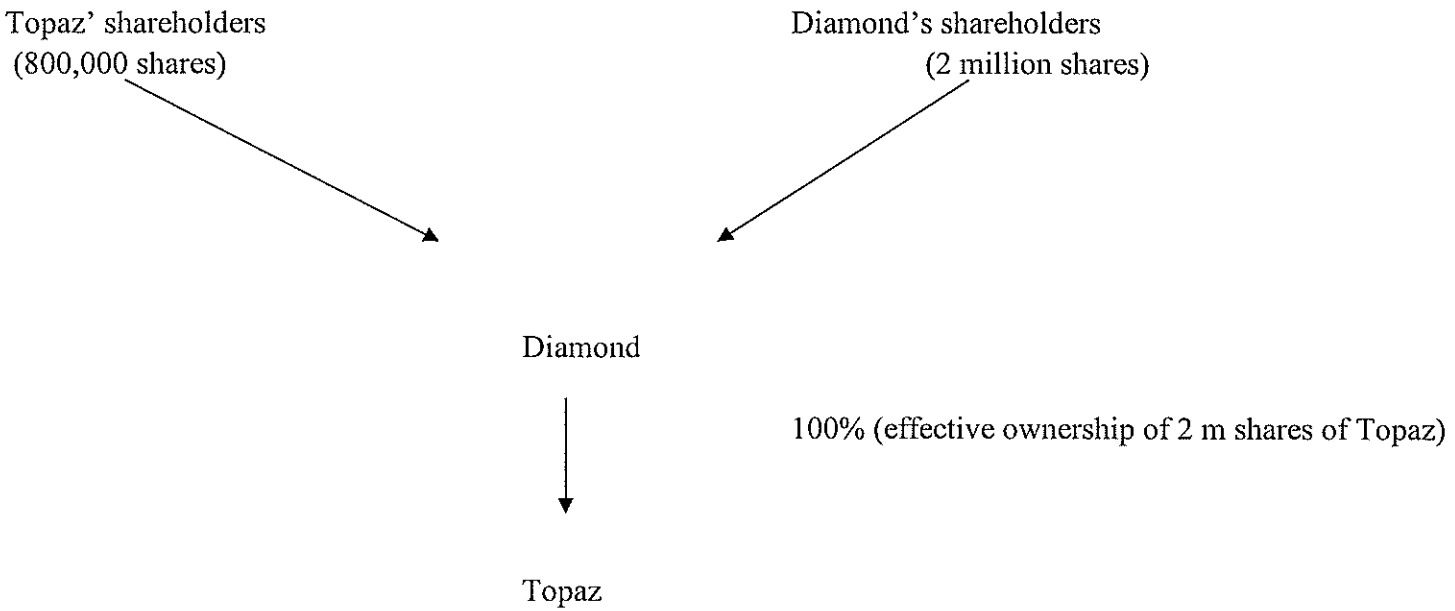
(b) Assuming (a) (i), goodwill on consolidation

Fair value of consideration transferred – Net identifiable fair value of Diamond
= $10,000,000 - $9,000,000
= $1,000,000

(c) Net assets of the combined entity = Book value of Topaz + Fair value of identifiable net assets of Diamond + Goodwill
= $1,800,000 + $9,000,000 + $1,000,000 = $11,800,000

(2) Assuming that it is a "reverse" acquisition,

Diamond would have to "effectively" issue 800,000 of its shares to Topaz shareholders so that the latter retains 2/7 (see previous diagram) of the ownership of the combined entity. Since Diamond's shareholders already own 2 million shares in Diamond, an effective issue of 800,000 (2 million divided by 5/7 and multiplied by 2/7) shares to Topaz would be necessary to maintain the 5:2 ratio in the ownership structure.



2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

(a) (i) Fair value of consideration transferred if fair value of Diamond's share is reliably determined:

No of Diamond's shares "issued" to Topaz's shareholders = 800,000
Fair value of Diamond's share per unit = $6 per share

Fair value of consideration transferred = 800,000 * $6 per share = $4.8 million

(a) (ii) Fair value of consideration transferred if fair value of Topaz's share is reliably determined:

No of Topaz's shares "acquired" by Diamond = 2 million (entire stock)
Fair value of Topaz's share per unit = $2 per share
Fair value of consideration transferred = 2 million * $2 = $4 million

(b) Assuming (a) (i), goodwill on consolidation
Fair value of consideration transferred – Net identifiable fair value of Topaz
= $4,800,000 - $2,000,000
= $2,800,000

(c) Net assets of the combined entity (under (a)(i))
Book value of D + Net fair value of T + Goodwill
= $8,000,000 + $2,000,000 + $2,800,000
= $12,800,000

(3) How would you determine if the acquisition is a reverse acquisition?

Consider the following factors:

Overriding principle of control in IAS 27
IFRS 3 Appendix B, B13-B18 criteria
Relative size (projected revenue, net assets)
Motivation for the acquisition

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

Who initiates the acquisition?
Who dominates management in the combined entity?
Largest relative voting rights in the combined entity
Who has the ability to appoint majority of directors?

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

Date of acquisition		1/7/20x3			
Financial year end		31/12/20x3			
		Small Ltd		**Big Pte Ltd**	
Share capital		500,000		15,000,000	
Retained earnings		120,000		18,000,000	
Revaluation reserves		50,000		2,000,000	
Book value of net assets		670,000		35,000,000	
Damages of Small Ltd	Obligation to pay damages				
		Probability of payment		Payment	EV
Outcome A		0.35		100,000	35,000
Outcome B		0.35		80,000	28,000
Outcome C		0.3		50,000	15,000
					78,000
Expected period		3	years		
Small's Cost of capital		10%			
PV of EV					($58,603)
Intangible asset of Small Ltd					
Contractual-legal rights		Operating lease contract			
Remaining term		10	years		
Market rent		150,000			
Contractual rent		100,000			
Advantage		50,000			
PV of advantage					$337,951
Fair value of buildings of Big Pte Ltd					$2,000,000
Book value of buildings of Big Pte Ltd					$1,200,000
Remaining useful life of buildings (number of years)					20.00
FV of INA of Small Ltd					
Book value of net assets					$670,000
Contingent liabilities					($58,603)
Intangible asset					$337,951
Deferred tax asset on FV-BV					($55,870)
FV of INA of Small Ltd					893,479
(1) Fair value of consideration trasnferred by Big					
		Small Ltd		**Big Pte Ltd**	
Fair value of entity		$1,000,000		$40,000,000	
Number of ordinary shares		2,000,000		4,000,000	
FV per share		$0.50		$10.00	
Shares issued by					
Small Ltd to owners of Big Co		8,500,000			

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

After share exchange					
Existing owners of Small		2,000,000		19.0476%	
Owners of Big		8,500,000		80.9524%	
New issued share capital		10,500,000		100%	
Should have been					
Shares issued by Big to					
owners of Small Ltd		941,175	Note (a)	19.0476%	
Existing owners of Big		4,000,000		80.9524%	
New issued share capital		4,941,175		100%	
Note (a)	19.0476/80.9524*4000000				
FV of consideration		9,411,750	941175*10		
Less FV of INA of Small Ltd		893,479			
Goodwill		8,518,271			
(2) Show consolidation journal entries for 20x3 for Big Co as the acquirer					
CJE1: Elimination of investment in Small Ltd					
Dr Share capital		500,000			
Dr RE		120,000			
Dr Revaluation reserves		50,000			
Dr Goodwill		8,518,271			
Dr Intangible asset		337,951			
Dr Unamortized discount		19,397			
Dr DTL				55,870	
Cr Provision for contingent liability				78,000	
Cr Investment in Small Ltd				9,411,750	
		9,545,620		9,545,620	
CJE2: Amortization of intangible asset					
Dr Amortization of IA		16,898	337951/10*1/2		
Cr Accumulated amortization				16,898	
CJE3: Interest expense on provision for contingent liability					
Dr Interest expense		2,930	10%*(78000-19397)*1/2		
Cr Unamortized discount				2,930	
CJE4: Tax expense on CJE2 and CJE3					
Dr DTL		3,966	(20%*16898)+(20%*2930)		
Cr Tax expense				3,966	
(3) In 20x6 a fine of $60,000 was imposed - change in estimate					
(a) Separate financial statements of Small					
Dr Damages (expense)		60,000			
Cr Provision				60,000	

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

(b) Consolidated financial statements					
Consolidation adjustment on settlement of contingent liability					
Dr Provision for Contingent liability		78,000			
Cr Damages (expense)				60,000	
Cr Write-back on provision (PL)				18,000	
Tax effects on settlement of liability					
Dr Tax expense		15,600	20%*78000		
Cr DTL				15,600	
Part (4)	Interest expense is not recognized on the amortization of the intangible asset because it				
	is a non-financial asset. Although time value calculation is applied to the determination of				
	the fair value of the intangible asset, interest is not an expense that is related to the				
	consumption of the asset. The asset's value declines through use, not the unwinding of the				
	interest.				
(5) Assume instead that Small Ltd is the acquirer,					
show the consolidation journal entries for the year ended 31 December 20x3.					
FV of NCI of Big Pte Ltd					0
Fair Value (FV) of Identifiable of Net Assets (INA) of Big Pte Ltd					
Book value (BV) of net assets					35,000,000
FV-BV of buildings					800,000
Deferred tax liability on FV-BV					(160,000)
FV of INA of Big Pte Ltd					35,640,000
FV of consideration transferred to obtain control of Big			8500000*0.5		4,250,000
Gain on bargain purchase					(31,390,000)
CJE1: Elimination of investment in Big					
Dr Share capital		15,000,000			
Dr RE		18,000,000			
Dr Revaluation reserves		2,000,000			
Dr Buildings		800,000			
Cr Gain on bargain purchase (PL)				31,390,000	
Cr Deferred tax liability				160,000	
Cr Investment in Big Co				4,250,000	
		35,800,000		35,800,000	
CJE2: Adjustment for the currrent depreciation of the under-valued buildings					
Dr Depreciation		20,000			
Cr Accumulated depreciation				20,000	
CJE3: Tax effects on CJE2					
Dr Deferred tax liability		4,000			
Cr Tax expense				4,000	

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

P3.11

Company Y's employees had already rendered all of the service before the business combination and no post-combination service is required by Company X. Accordingly, the portion attributable to pre-combination services equals the market-based measure of the Company Y's award at the acquisition date ($200,000). This amount is included in the consideration transferred in the business combination. The excess of the market based measure of the replacement award of $100,000 over the amount attributed for the pre-combination vesting period of $200,000 is therefore, recognised as remuneration cost in Company X's post-combination financial statements in accordance with IFRS 2.

Calculation of fair value uplift on acquisition

Fair value uplift on acquisition = $820,000 - $680,000
= $140,000

Calculation of goodwill on acquisition

Consideration transferred = $950,000 + $200,000 (being the amount attributed for pre-combination
= $1,150,000 service)

Goodwill =	Fair value of consideration transferred	+ Amount of non-controlling interests at acquisition date	- Recognised net identifiable assets of acquiree measured in accordance with IFRS 3
	= $1,150,000	+ 0	- $820,000
	= $330,000		

Preparation of the accounting entries:

Dr Share capital	500,000	
Dr Revenue reserves	100,000	
Dr Employee share options	80,000	
Dr Net identifiable assets (Excess of fair value over NBV)	140,000	
Dr Goodwill	330,000	
Cr Investment in subsidiary		1,150,000

(Being elimination of share capital and investment account.)

In the separate financial statements of AC		
Dr Investment in subsidiary	1,150,000	
Employee share option reserve - equity		200,000
Cash		950,000

(Being issuance of replacement awards at date of acquisition and investment in subsidiary.)

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted

P3.12

In this case, given that it is silent in the fact pattern, it can be assumed that the terms of the replacement awards did not eliminate any remaining vesting period upon a change in control. As the employees of Company Y have already rendered three years of service (out of the five years) and the replacement awards do not require any post-combination service, the total vesting period is three years. The original vesting period is five years. Hence, the greater of the total vesting period of replacement award (three years) or vesting period of original award (five years) is five years and this should be used as the denominator in the formula set out in IFRS 3.

Hence, the portion attributable to pre-combination services equals the market-based measure of the Company Y's award at the acquisition date ($200,000) multiplied by the ratio of the pre-combination vesting period (three years) to the total vesting period (five years). Thus, $120,000 ($200,000 × 3/5 years) is attributed to the pre-combination vesting period and therefore included in the consideration transferred in the business combination. The excess of the market based measure of the replacement award of $300,000 over the amount attributed for the pre-combination vesting period of $120,000 i.e. $180,000 is attributed to the post-combination vesting period and is therefore, recognised as remuneration cost in AC's post-combination financial statements in accordance with IFRS 2.

Calculation of fair value uplift on acquisition

Fair value uplift on acquisition = $820,000 - $680,000
= $140,000

Calculation of goodwill on acquisition

Consideration transferred = $950,000 + $120,000 (being the amount attributed for pre-combination service)
= $1,070,000

Goodwill =	Fair value of consideration transferred	+ Amount of non-controlling interests at acquisition date	- Recognised net identifiable assets of acquiree measured in accordance with IFRS 3
	= $1,070,000	+ 0	- $820,000
	= $250,000		

Preparation of the accounting entries:

Dr Share capital	500,000	
Dr Revenue reserves	100,000	
Dr Employee share options	80,000	
Dr Net identifiable assets (Excess of fair value over NBV)	140,000	
Dr Goodwill	250,000	
Cr Investment in subsidiary		1,070,000

(Being elimination of share capital and investment account.)

In the separate financial statements of AC

Dr Investment in subsidiary	1,070,000	
Employee share option reserve - equity		120,000
Cash		950,000

(Being issuance of replacement awards at date of acquisition and investment in subsidiary.)

2016 © All rights reserved, McGraw-Hill Education (Asia)
Strictly For Instructors Use Only
No Further Distribution or Reproduction Permitted